

Parallel Paths to Fraud: How Internal Traits Shape Financial Crime

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Introduction

- Fraud occurs in many organizations, yet not everyone exposed to similar conditions engages in it
- This project focuses on the role of the individual over the situation in the decision to commit fraud

Existing Models & Limitations

- **Traditional models:**
 - Fraud Triangle (motive, opportunity, and rationalization)
 - Fraud Diamond (Fraud Triangle + Capability)
 - S.C.O.R.E. (Fraud Diamond + Ego)
- These models emphasize external conditions
- Mostly reactive (i.e., used to analyze fraud incidents)
- Views rationalization as only occurring after fraud
- Places much importance on opportunity

Methods

Research Question:

How do internal psychological traits and cognitive processes influence the development and escalation of occupational fraud behavior?

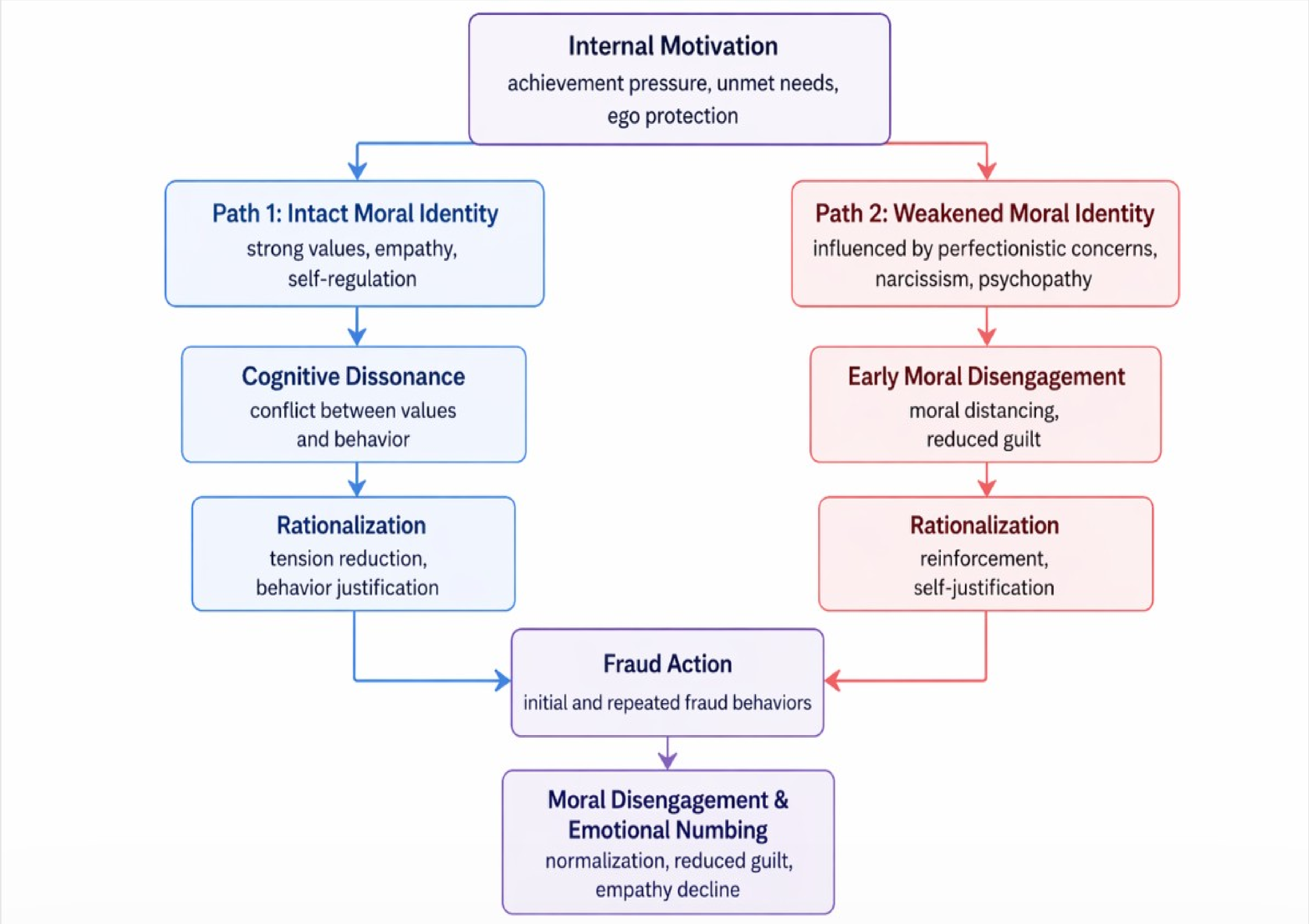
Approach:

- Systematic review of literature from:
 - Forensic Accounting
 - Cognitive Psychology
 - Behavioral Ethics
 - Criminology
 - Social Psychology

Result:

- Development of a conceptual dual-path model

Dual-Path Psychological Model to Fraud



Model Interpretation

- This model explains how financial fraud behavior develops through internal psychological processes rather than a single decision
- It proposes two internal pathways to fraud depending on the strength of an individual’s moral identity
- In the first pathway, individuals with an intact moral identity experience cognitive dissonance and gradually rationalize their behavior to reduce tension, leading to fraud action
- In the second pathway, predispositional traits such as perfectionistic concerns and narcissistic tendencies weaken moral identity and allow earlier moral disengagement
- Across both pathways, repeated rationalization contributes to continued behavior and a shared escalation process
- Over time, this leads to increased moral disengagement, emotional distancing, and eventual emotional numbing, making continued misconduct psychologically easier

Key Insights

- Fraud follows a consistent psychological progression
- Rationalization occurs ex-ante fraud behavior
- Moral disengagement occurs ex-post for individuals with an intact moral identity, and both ex-ante and ex-post for those with weakened moral identities
- Both pathways eventually lead to emotional numbing, making continued fraud behavior easier
- Opportunity acts primarily as an amplifier only resulting in fraud if the psychological conditions are present

Project’s Contribution

- Highlights the internal conditions and motivations behind fraud
- Underscores rationalization as a central driver of fraud not just an outcome
- Understanding early cognitive patterns may improve detection and intervention
- The model shifts fraud from simply a situational problem to a behavioral process

Resources

